25901892 **Reg.No : .....**

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (Honours)/MGU-BBA (Honours)/MGU-BCA (Honours) Special Examinations, July 2026 (for 2024 Admission Regular Examinations, October 2025)

THIRD SEMESTER

Discipline Specific Elective (DSE) - MG3DSECOM200 - SPECIAL BUSINESS ACCOUNTING

(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Very Short Answer Questions

Answer any **12** questions

Each question carries **1** marks

1. Complete the journal entry passed by the hire purchaser at the time of making the down payment: [A] / [CO1]
   …… A/C Dr . To Bank A/C.
2. Which account will be debited while recording the transaction: Consignee earned commission of ₹19,000? [A] / [CO2]
3. Gross Profit Ratio = (Gross Profit/____)100. [U] / [CO3]
4. Which account is maintained for recording transactions regarding cattle? [U] / [CO4]
5. In partial repossession, what happens to the balance asset? [U] / [CO1]
6. Why is consignee's book free from "Goods Sent on Consignment" entry? [A] / [CO2]
7. In a hire purchase agreement, what is the seller called? [U] / [CO1]
8. The loss of profit policy covers loss of profit due to …….. [U] / [CO3]
9. Why is del-credere commission allowed only on credit sales? [U] / [CO2]
10. Farm accounts are mainly prepared for which type of organization? [U] / [CO4]
11. Complete the journal entry passed by the Hire Vendor on interest due : [A] / [CO1]
    ..... A/C Dr. To Interest A/C.

12. Why is ordinary commission always given? [U] / [CO2]

13. Admissible claim is calculated by using the concept of _____. [U] / [CO3]

14. Journalise the transaction: Sale of eggs on credit ₹15,000. [A] / [CO4]

[1x12 = 12]

Part B

Short Answer/ Problem Type Questions

Answer any **4** questions

Each question carries **7** marks

15. On 1.1.2020 Mr. X took delivery from Mr. Y of 5 machines on a hire purchase system. `Rs. 4,000 being paid on delivery and the balance in five instalments of Rs.6,000 each, payable annually on 31 December. The vendor company charges 5% interest p.a. on yearly balances. The cash price of 5 machines was Rs. 30,000. Show the entries in the books of Mr.Y for the first year of hire purchase. [A] / [CO1]

16. JK Appliances, Chennai consigned 120 Ovens at ₹12,000 each to TUV Distributors, Coimbatore. The consignor paid Freight ₹6,000. The consignee took delivery of goods and paid Duty & Clearing charges ₹4,500 (non-recurring). Later, TUV sold 90 ovens @ ₹15,500 each and incurred selling expenses of ₹3,200. They are entitled to a commission of 6% on sales. Required: Prepare the Consignee's Account in the books of the consignor and compute the amount remitted. [A] / [CO2]

17. A trader took out a fire policy containing an average clause covering his stock for Rs. 15,000. His practice was to base his selling price at cost plus 33 1/3%. He closes his books on 30th June, every year. On 31st March, 2025, a fire occurred at his premises and destroyed his stock. The salvaged stock was Rs. 6,000. During the period of 9 months preceding the fire, his purchases amounted to Rs. 61,000 and sales Rs. 84,000. His stock at 1st July, 2024 was valued at Rs. 20,000. You are required to prepare a statement showing the amount of claim. [A] / [CO3]

18. From the following details of a poultry farm, prepare Poultry Account for 2024–25: [A] / [CO4]
Opening stock of birds: ₹15,000 Purchases of chicks: ₹8,000
Feed and medicine: ₹6,500 Wages for poultry workers: ₹5,500:
Sales of eggs: ₹20,000 Sale of birds: ₹12,000:
Closing stock of birds: ₹10,000.

19. Explain the following terms: a) Hire Purchase agreement b) Hire Purchaser c) Cash Price d) Hire Purchase Price e) Cash Price f) Cash Down Payment [U] / [CO1]

20. Differentiate farm accounts from manufacturing accounts. [U] / [CO4]

[7x4 = 28]

Part C

Essay/ Problem Type Questions

Answer any **2** questions

Each question carries **15** marks

21. On 1st January 20X1, Mr.A acquired furniture on hire purchase system from R Ltd. agreeing to pay four semi-annual instalments of Rs. 800 each, commencing on 30th June [A] / [CO1]

20X1.The cash price of the furniture was Rs. 3010 and interest of 5% per annum at half yearly balances. On 30th September 20X1, A expresses his inability to continue and R Ltd seizes the furniture. It was agreed that A would pay the due proportion of the instalment up to the date of seizure and also further sum of Rs 200 towards depreciation. At the time of repossession R Ltd valued the furniture at Rs 1500.The company after incurring Rs. 200 towards repairs of the Furniture, sold the items for Rs. 1800 on 15th October 20X1.Prepare the ledger accounts in the books of the Vendor assuming that the purchaser charges depreciation @ 10% p.a.

22. MR Associates , Thrissur consigned 200 electric stoves of the cost of rupees ₹ 400 to SR Electronics , Alappuzha at 25% above cost. The expenses at Thrissur were ₹4,000 for packing and forwarding. During transit 20 stoves were damaged by accident and for which the insurance company admitted a claim of rupees ₹ 5,000. The amount is later received by the consignor. SR Electronics took the delivery of the consignment after accepting a bill for ₹ 40,000 drawn against it. SR Electronics sold 150 electric stoves at the rate of ₹600. Their expenses amount to ₹1200. The consignor is entitled to a Commission at the rate of 6 % on gross sales. Prepare important ledger accounts in the books of MR Associates and SR electronics. [A] / [CO2]

23. The premises of XY Limited were partially destroyed by fire on 1st March, 2001 and as a result, the business was practically disorganised up to 31st August, 2001. The company is insured under a loss of profits policy for Rs. 165 lakh having an indemnity period of 6 months. [A] / [CO3]

From the following information, prepare a statement of claim under the policy:

(1) Actual turnover during the period of dislocation was Rs 80 lakhs i.e. from 1st March, 2001 to 31st August, 2001.

(2) Turnover for the corresponding period in the 12 months immediately preceding the date of fire i.e. from 1st March, 2000 to 31st August, 2000 was Rs. 240 lakhs.

(3) Turnover for the 12 months immediately preceding the date of fire i.e. from 1st March, 2000 to 28th February was Rs. 600 lakhs.

(4) Net profit for the last financial year was Rs 90 lakhs.

(5)Insured standing charges for the last financial year was Rs 60 lakhs.

(6) Uninsured standing charges Rs. 5 lakhs.

(7) turnover for the last financial year was Rs. 500 lakhs.

Due to substantial increase in trade, before and up to the time of the fire, it was agreed that an adjustment of 10% should be made in respect of the upward trend in turnover. The company incurred additional expenses amounting to Rs. 9.3 lakh immediately after the fire and but for this expenditure, the turnover during the period of dislocation would have been only Rs. 55 lakh. There was also a saving during indemnity period of Rs. 2.7 lakh in insured standing charge as a result of the fire.

[15x2 = 30]